

NEW ZEALAND 2012

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Introduction

Tax-benefit policy “country chapters” are made available as part of the OECD series *Benefits and Wages*. They provide detailed descriptions of tax and benefit rules in a consistent format across countries and summarize recent policy changes.

Country chapters for other countries and years are available on the Internet at www.oecd.org/els/social/workincentives.

1. Overview of the tax-benefit system

The provision of social security benefits in New Zealand is funded from general taxation and not specific social security contributions. Social security benefits for the unemployed are not funded from specific employee/employer contributions and there are no minimum working hours or earnings required in order for a person to be covered. All New Zealanders regardless of their employment history are covered by the benefits provided under the Social Security Act 1964. All benefits are payable without a fixed duration (although eligibility is reviewed on a regular basis and people receiving Unemployment Benefit have to reapply every 12 months). In addition to the specific qualifying criteria for each benefit, provision is subject to a New Zealand residence requirement and personal income (joint income in the case of married, civil union and de facto couples).

Working for Families Tax Credits (Family Tax Credit, In-Work Tax Credit, Parental Tax Credit and Minimum Family Tax Credit) are available to families with dependent children. Minimum Family Tax Credit provides a guaranteed minimum family income to working non-beneficiary families¹.

The tax unit is the individual but eligibility for Working for Families Tax Credits is based on combined family income (children's income is not counted except for passive income over \$500 per child²).

The average annual taxable income of personal taxpayers from all regular sources was \$37,970 for the year ended June 2011³.

1.1. Average Worker wage (AW)

The 2012 AW level was NZD 51 278.

Unemployment insurance

In New Zealand there is no compulsory unemployment insurance.

3. Unemployment assistance

3.1 Conditions for receipt

A person is entitled to an Unemployment Benefit provided they are available and willing to undertake full time paid employment. A person must have resided in New Zealand continuously for at least two years and be at least 18 years old or alternatively be at least 16 old and married, in a civil union or de facto relationship with one or more dependent children. They must not be in full time employment (defined as working 30 or more hours per week), but available for and taking reasonable steps to find suitable employment. These latter provisions are known as the "work test". A stand down period of between zero and two weeks is applied to new applicants. The length of stand down is determined by a formula which

¹ Working for Families Tax Credits are administered as transfer payments paid through the tax and benefit systems. They were renamed as "Working for Families Tax Credits" in 2007. See section 12.2 for details.

² Passive income refers to income the child may receive that they have not earned through their own efforts.

³ Household Economic Survey: Year ended June 2011 Statistics New Zealand, Wellington. The figures for year ended June 2012 will not be available until November 2012.

Reference date for all information is **July 1st 2012 unless otherwise stated.**

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

takes account of household structure and gross income in either the 6 or 12 months prior to the date of benefit entitlement, whichever results in the shorter stand down⁴.

Striking workers and full time students are not entitled to the Unemployment Benefit.

3.1.1 Employment conditions

If an applicant (or their work tested partner) has left their job of their own free will, without a good and sufficient reason, the stand down period applied is 13 weeks from the date their employment ceased.

3.1.2 Contribution conditions

None.

3.2 Calculation of benefit amount

3.2.1 Calculation of gross benefit

Entitlement is based on the family, not the individual. Each partner of a married, civil union or de facto couple usually receives half of the total benefit but their benefit can be differently apportioned in some circumstances.

Unemployment Benefit rates as at 1 April 2012	
<i>Family type</i>	<i>Gross rate (NZD per four weeks)</i>
Single 18-19 at home	610.68
Single 18-19 away from home	763.36
Single 20-24	763.36
Single 25 and over	916.04
Sole parent	1332.04
Married, civil union or de facto couple (with or without children)	1526.72

3.2.1.1 Irregular additional payments

There is a range of payments or advances available to provide assistance in a financial crisis, including special needs grants, advance payments of benefit, recoverable assistance, or temporary additional support. The amounts available depend on individual circumstances and needs.

3.2.1.2 Obligations of family members

Work test obligations apply to the partners of people receiving the unemployment benefit where there are no dependent children or where the youngest child is 18 years of age. Where partners have a youngest child aged 6 years or over but under 18 years part-time work test obligations apply. No work test obligations apply to partners with a youngest child under 6 years.

⁴ This came into effect on 2 July 2007.

If the partner fails without good and sufficient reason to comply with their work test obligations, the unemployment benefit may be stopped.

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Net Unemployment Benefit payments are abated at a rate of 70 cents for each dollar after NZD 80 gross weekly earnings before tax. The unit of income assessment is personal income for single people, or joint income for married, civil union and de facto couples.

3.3 *Tax treatment of benefit and interaction with other benefits*

Unemployment Benefit is taxable with each spouse receiving half of the benefit entitlement for taxation purposes.

3.4 *Benefit duration and waiting periods*

People receiving Unemployment Benefit are required to re-apply for the benefit every 12 months and undergo a comprehensive work assessment at the time of re-application.

3.5 *Treatment of particular groups*

3.5.1 *Young persons*

There is no unemployment assistance for people under 18 years old, unless they are 16 or 17 years old and married, in a civil union or de facto relationship with one or more dependent children. Unemployed 16 and 17 year olds who have lost the support of their parents may be entitled to an Independent Youth Benefit.

3.5.2 *Older workers*

Universal Superannuation is payable from age 65. There is no compulsory retirement age.

3.5.3 *Others if applicable*

There are a range of work test exemptions that can be applied. For example a client (or partner) serving a sentence of home detention can be exempted from the work test for this period.

Pregnant jobseekers may be exempt from their work test obligations from the day they provide proof of pregnancy from a health professional. Once the jobseeker is 27 weeks pregnant they can be transferred to Sickness Benefit.

A person who is sick, injured or disabled may be eligible to receive an Invalid's Benefit or a Sickness Benefit. Invalid's Benefit is not work tested. People on Sickness Benefit who are regarded as having the capacity to work part-time⁵ may be required to meet to a part-time work test. Partners of people receiving Invalid's or Sickness Benefits may be subject to a work test depending on their circumstances.

Unemployed sole parents and caregivers may be entitled to a Domestic Purposes Benefit (see section 9).

⁵ Part-time work is defined in the Social Security Act 1964 as work that averages not less than 15 hours a week when calculated over a period of the preceding three months. Full-time work is defined as work of no less than an average of 30 hours a week.

4. Social assistance

None.

5. Housing benefits for rented accommodation

5.1 Conditions for receipt

Accommodation Supplement provides assistance towards accommodation costs, including private rent, board and home ownership costs. A person does not have to be receiving a benefit to qualify for Accommodation Supplement.

5.2 Calculation of benefit amount

The calculation of the Accommodation Supplement is based on actual accommodation costs.

5.2.1 Calculation of gross benefit

Accommodation Supplement provides for 70 per cent of accommodation costs above the entry threshold, up to a maximum amount.

- The entry threshold is 25 per cent of a person's net rate of benefit (30 per cent if they own their own home) plus the first child rate of Family Tax Credit for people with children.
- For non-beneficiaries, the entry threshold is 25 per cent of the relevant net Unemployment Benefit (30 per cent if they own their own home) plus the first child rate of Family Tax Credit for people with children.

Accommodation Supplement payments are capped according to median rents in different parts of the country. For example a greater maximum amount of Accommodation Supplement is available in Auckland, reflecting the higher accommodation costs in that city.

Accommodation Supplement weekly maxima as at 1 April 2012 (NZD)				
<i>Family type</i>	<i>Area 1</i>	<i>Area 2</i>	<i>Area 3</i>	<i>Area 4</i>
1 person	145	100	65	45
2 people	160	125	75	55
3 or more people	225	165	120	75

*Note there was no change to the weekly maxima between 2011/12

5.2.2 Income and earnings disregards

Beneficiaries do not have their Accommodation Supplement abated. Non-beneficiaries have their Accommodation Supplement reduced by 25 cents for each dollar of gross income above the relevant income threshold shown below.

Accommodation Supplement income thresholds for non-beneficiaries as at 1 April 2012	
<i>Family Type</i>	<i>NZD per four weeks</i>
Single 16 + years	1492
Married, civil union or de facto couple without children	2272
Married, civil union or de facto couple with children	2272
Sole parent with one or more children	2000

A cash assets test is also applied. Single beneficiaries without dependent children cannot receive an Accommodation Supplement if they have assets exceeding NZD 8 100. The asset limit for beneficiary couples and beneficiaries with dependent children is NZD 16 200.

Single non-beneficiaries have every NZD 100 of their cash assets over NZD 2 700 treated as NZD 1 per week income for Accommodation Supplement abatement purposes. Non-beneficiary couples and non-beneficiaries with dependent children have every NZD 100 of their cash assets over NZD 5 400 treated as NZD 1 per week income for abatement purposes.

* Note: there has been no change to the cash asset test for AS.

5.2.3 *Costs eligible for housing benefits*

Rent, board and home ownership costs are all eligible costs for housing benefits. Home ownership costs can include mortgage payments, rates including water rates, home and mortgage protection insurance and essential repairs and maintenance.

5.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

5.4 *Treatment of particular groups*

Tenants who live in a state house receive an Income Related Rent subsidy, and are not eligible for an Accommodation Supplement. People receiving an Income Related Rent subsidy pay 25 per cent of their net income in rent.

5.4.1 *Young persons*

Young people aged 16-17 years are not eligible to receive an Accommodation Supplement unless they are financially independent.

5.4.2 *Older workers*

People receiving New Zealand Superannuation or Veterans Pension cannot receive an Accommodation Supplement if they have other income exceeding the appropriate income limit.

5.4.3 *Others if applicable*

Generally students studying full-time cannot access Accommodation Supplement but may receive an Accommodation Benefit if they qualify for a Student Allowance.

6. **Family benefits**

6.1 *Conditions for receipt*

Family Tax Credit is available to families with dependent children.

- Beneficiary families are paid Family Tax Credit weekly or fortnightly with their benefit.
- Family Tax Credit is paid to non-beneficiary families by the Inland Revenue Department, either weekly or fortnightly, (with an end of year “square up”) or in one lump sum at the end of the tax year.

Non-beneficiary families may also be entitled to other Working for Families Tax Credits (see section 10.1.1.2 below).

6.2 *Calculation of benefit amount*

Family Tax Credit rates depend on the number of children, the age of the children and family income.

6.2.1 *Calculation of gross benefit*

Gross Family Tax Credit rates as at 1 April 2012 (NZD per four weeks)	
<i>Family Type</i>	<i>NZD per four weeks</i>
First or only child aged 0-15 years	370.92
First or only child aged 16-18 years	407.92
Second or subsequent child aged 0-12 years	257.76
Second or subsequent child aged 13-15 years	294.00
Second or subsequent child aged 16-18 years	365.00

Note: the Family Tax Credit rate for children 16 – 18 years of age did not increase in April 2012.

6.2.1.1 *Irregular additional payments*

Nil.

Reference date for all information is **July 1st 2012 unless otherwise stated.**

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6.2.2 *Income and earnings disregards*

Each dollar of gross income in excess of NZD 36,350 reduces Family Tax Credit by 21.25 cents⁶.

6.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

6.4 *Treatment of particular groups*

None.

6.4.1 *Young persons*

None.

6.4.2 *Older workers*

None.

6.4.3 *Others if applicable*

None.

7. **Childcare for pre-school children**

As at 1 July 2011 there were 194,101 enrolments in licensed early childhood education services, with 120,725 of these in the 3-4 years age group.⁷

Schooling is compulsory by age six in New Zealand, although the majority of children start school immediately after their fifth birthday (only 1,994 five year olds were enrolled in licensed early childhood services as at 1 July 2009).

From 1 July 2010 all three and four year old children are able to go to early children education services for six hours a day, 20 hours a week, at no charge. Early childhood education services include teacher-led early childhood services, kohanga reo and playcentres. This funding to covers the average cost of meeting the regulated requirements for ECE provision. Some providers may choose to offer additional features above and beyond the regulations. Parents may be requested to pay an additional charge if they wish to purchase these additional features. Free ECE funding is paid directly to ECE providers who have opted into the scheme.

7.1 *Out-of-pocket childcare fees paid by parents*

Full-time childcare

Government provides universal funding of between NZD 3.33 and NZD 12.81⁸ per hour per child to assist with early childhood education fees. The payment is made by the Ministry of Education direct to the

⁶ This change came into effect on 1 April 2012.

⁷ Source: July 2011 annual census of children and staff at licensed and/or chartered early childhood education (ECE) services and license-exempt playgroups, conducted by the Ministry of Education. www.edcounts.govt.nz. The figures for 2012 are not available until late 2012 or early 2013.

⁸Source: ECE: Funding handbook: Appendix one. <http://www.lead.ece.govt.nz/>

provider of the service and varies according to the age of the child (under 2 or over 2) and the type of service.

Part-time childcare

The fee subsidy is on paid on an hourly basis, and does not change if childcare is used on a part-time basis.

7.2 Child-care benefits for formal centre-based care

7.2.1 Conditions for receipt

Childcare Subsidy is a non-taxable payment which assists low- and middle-income families to pay for their under five year old children (and some under six year olds) to attend licensed preschool facilities.

A person may be entitled to a Childcare Subsidy of up to 9 hours per week if they meet the income test. People who are in work related activities or undertaking training may access up to 50 hours Childcare Subsidy per week for the time they are engaged in those activities. The payment is made to the provider of the service on behalf of the parent.

7.2.2 Calculation of benefit amount

7.2.2.1 Calculation of gross benefit

The following table shows Childcare Subsidy income abatement thresholds and maximum rates from 1 April 2012.

Childcare Subsidy income abatement thresholds and rates as at 1 April 2012 (NZD)		
<i>Number of children</i>	<i>Gross weekly income</i>	<i>Childcare Subsidy (per hour)</i>
1	Less than 1,200	3.91
	1,200 - 1,299	2.72
	1,300 - 1,399	1.51
	1,400 or more	nil
2	Less than 1, 380	3.91
	1,380 - 1,489	2.72
	1,490 - 1,599	1.51
	1, 600 or more	nil
3 or more	Less than 1,540	3.91
	1,540 – 1,669	2.72
	1,699 – 1,799	1.51

	1 ,800 or more	nil
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The benefit calculation is not changed if only part-time childcare is used.

7.2.2.2 Income and earnings disregards

Benefits are reduced according to gross income (see section 7.2.2.1).

7.2.3 Tax treatment of benefit and interaction with other benefits

Not taxable.

7.2.4 Treatment of particular groups

None.

7.3 Child care allowance for children not using child care centres

Comment: Childcare subsidy is only paid if the child is attending an approved early childhood programme. An early childhood programme⁹ means early childhood education provided by any of the following:

- A licensed early childhood service which includes:
 - early childhood education and care centres (e.g. day care centre, kohanga reo, Playcentre kindergarten)
 - home-based education and care service (e.g. Porse, Barnados)
 - hospital-based education and care service
- A playgroup that has been certified by the Ministry of Education (this means a playgroup is funded by the Ministry of Education and will meet certain standards)

And

- For which a fee is charged for the children to participate in the programme

The childcare subsidy is **not** payable for childcare provided informally (for example through friends or family who are not licensed to provide home-based education and care service) or a childhood centre or service that is not approved and licensed.

The rules around the provision of the subsidy and the rates that are paid are the same for any of the above mentioned providers as outlined in 7.2.1 above.

⁹ www.minedu.govt.nz

8. Employment-conditional benefits

In-Work Tax Credit, Minimum Family Tax Credit and Parental Tax Credit are available only to non-beneficiary families. In-Work Tax Credit and Minimum Family Tax Credit require the parent (or at least one parent in the case of couples) to meet an hours of work test (see section 10).

9. Lone-parent benefits

9.1 Conditions for receipt

Sole parents 18 years or older may qualify for Domestic Purposes Benefit if they are the primary carer for a qualifying dependent child.

Domestic Purposes Benefit recipients with a youngest dependent child aged six or over¹⁰ have to meet a part-time work test. To meet their obligations the sole parent must make themselves available for suitable work, training or other activities for at least 15 hours a week. Domestic Purposes Benefit recipients with a youngest child under six participate in a planning process that promotes goal setting for the time when their circumstances allow them to successfully combine parenting and work. While most sole parent beneficiaries receive a Domestic Purposes Benefit, other benefits (Unemployment, Sickness and Invalid's) can also be paid at a sole parent rate.

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

As at 1 April 2012 the weekly gross rate of the sole parent Domestic Purposes Benefit was NZD 333.01.

9.2.1.1 Irregular additional payments

As mentioned in 3.2.1.1 there are a range of payments or advances available to provide assistance in a financial crisis, including special needs grants, advance payments of benefit, recoverable assistance, or temporary additional support. The amounts available depend on individual circumstances and needs.

9.2.2 Income and earnings disregards

The net rate of Domestic Purposes Benefit is abated by 30 cents for each dollar of weekly earnings between NZD 100 and NZD 200. Earnings above NZD 200 per week abate the benefit by 70 cents for each dollar earned. The default is an annual income assessment, though the beneficiary may choose to have a weekly assessment.

9.3 Tax treatment of benefit and interaction with other benefits

The Domestic Purposes Benefit is taxable.

9.4 Benefit duration

Sole parents lose eligibility for Domestic Purposes Benefit when their youngest dependent child turns 18 or at the end of the secondary school year in which their youngest child turned 18.

¹⁰ Once the youngest dependent child turns 18 a sole parent has to meet a full time work test but, providing the child is still at school, they can continue to receive DPB-SP until the end of the school year in which their child turns 18.

Reference date for all information is **July 1st 2012 unless otherwise stated.**

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9.5 Treatment of particular groups

9.5.1 Young persons

Some 16 and 17 year old sole parents may be eligible for Emergency Maintenance Allowance.

9.5.2 Older workers

None.

9.5.3 Others if applicable

None.

10. Tax system

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

None.

10.1.1.2 Standard tax credits

Family Tax Credit

See section 6.

In-Work Tax Credit

In-Work Tax Credit is available to non-beneficiary families who normally work a minimum number of hours each week.

- A sole parent qualifies if they work at least 20 hours per week.
- A two-parent family qualifies if the two parents work a combined 30 hours per week.

In-Work Tax Credit is up to NZD 60 week per for families with up to three children, increasing by NZD 15 for each additional child after the third. Eligibility for In-Work Tax Credit also depends on family income.

Families receiving the following government transfers can still qualify for In-Work Tax Credit, provided the family works the required hours:

- NZ Superannuation
- Veteran's pension
- a foster, orphan's or unsupported child's benefit
- accident compensation for incapacity provided the person normally worked the required hours each week prior to their injury and had an accident after 1 January 2006
- paid parental leave or Parental Tax Credit provided the family worked the required hours before taking leave due to the birth of a child.

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Minimum Family Tax Credit

Minimum Family Tax Credit is available to working non-beneficiary families.

- A sole parent qualifies if they work at least 20 hours per week.
- A two-parent family qualifies if the two parents work a combined 30 hours per week.
- Self-employed people are not eligible.

The Minimum Family Tax Credit was increased in April 2012. It ensures a minimum net income of NZD 434 per week (including ACC deduction, NZD 22,568 per annum) before Family Tax Credit and In-Work Tax Credit are included.

Parental Tax Credit

Families may be entitled to a Parental Tax Credit of NZD 150 per week for the first eight weeks after they have a new baby. They cannot receive a Parental Tax Credit if they are receiving Paid Parental Leave.

10.1.2 Income tax schedule (central government income tax)

NZ income tax schedule	
<i>Gross taxable income as at 1 April 2011 (NZD per year)</i>	<i>Statutory tax rate (%)</i>
0 – 14,000	10.5
14,001 – 48,000	17.5
48,001 – 70,000	30.0
over 70,000	33.0

10.1.3 State and local income taxes

New Zealand has no state or local income tax.

10.2 Treatment of family income

Family members are taxed as individuals.

10.3 Social security contributions and payroll taxes

New Zealand has no compulsory social security contributions to schemes operated within the government sector.

It should be noted that there is an accident compensation scheme administered by the Accident Compensation Corporation for residents and temporary visitors to New Zealand. This scheme is funded in part by premiums paid by employees and employers. Employees pay a premium of 1.70 % of their gross earnings up to a threshold of NZD 113 768 in 2012-13. Employers pay a premium depending on their total payroll and their assessed accident risk (the average rate is 1.06%).

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10.4 Treatment of particular groups

10.4.1 Young persons

10.4.2 Older workers

None.

10.4.3 Others if applicable

None.

11. Part-time work

11.1 Special benefit rules for part-time work

People must be working less than an average of 30 hours per week to be eligible for Unemployment Benefit.

11.2 Special tax and social security contribution rules for part-time work

None.

12. Policy developments

12.1 Policy changes introduced: 2nd July 2011 – 1st July 2012 that are continuing to be have an effect

New Zealand legislation prescribes that Family Tax Credits are adjusted for inflation on 1 April 2012 and thereafter every time CPI inflation cumulatively reaches 5% or more. On current forecasts these adjustments are expected to occur on 1 April 2014, 1 April 2016 and 1 April 2018

For the next three inflation adjustments, at the same time as the inflation adjustment is made, the abatement threshold will decrease by \$450 each time. After these three adjustments Family Tax Credit will have a lower abatement threshold of \$35,000 compared to the current \$36,350

At the same time as the above, the abatement rate will be increased by 1.25 cents in the dollar. After these three adjustments the abatement rate will be 25 cents in the dollar compared to the current 21.25 cents in the dollar.

In addition inflation adjustments to Family Tax Credits for children aged 16 and over will be temporarily halted until payment rates for children aged 13 to 15 catch up with them. Once this occurred the number of different categories will be reduced from five to three.

12.2 Policy changes introduced since 1st July 2012

In 2011 the Government announced its intention to undertake a major reform of the benefit system. The first of the proposed changes were contained in the Social Assistance (Youth Support and Work Focus) Amendment Act 2012 enacted on 26 July 2012.

The Youth Support package of changes that the Act introduced came into effect on 20 August 2012. These changes included:

- A new Youth Payment for 16 and 17 year olds with no dependent children. The Youth Payment replaces all the main benefits accessed by 16 and 17 year olds with the exception of the Invalid's Benefit, Emergency Benefit and Unemployment Benefit for students in hardship. Young people have to be in exceptional circumstances (unable to be supported by parents) unless they are married, in a civil union or de-facto relationship. Generally in order to be able to receive the Youth Payment a young person is required to be in, or available for, full time education, approved training or work based learning.
- A new Young Parent Payment for 16 – 18 year olds with a dependent child or children. This payment replaced the previous benefits that were accessed by 16 – 18 year old parents. Generally in order to be able to receive the Young Parent Payment a young person is required to be in, or available for, full time education, approved training or work based learning.
- The Act also introduced a range of obligations that young people receiving either the Youth Payment or the Young Parent Payment are required to meet. (for example in relation to budgeting and parenting courses) . Young people who fail to meet their obligations can have the level of their payment reduced.
- The Act also introduced a new system of money management for young people to assist them to manage their money more effectively.

The Act also introduced the first of the welfare reform changes in relation to availability and preparation for work. These came into effect on 15 October 2012 and include:

- lowering the age of the youngest dependent child to five from six for the commencement of part - time work availability expectations¹¹
- lowering the age of the youngest dependent child from 18 to 14 for the commencement of full - time work availability for both sole parents and the spouses and partners of beneficiaries
- introduce part-time work availability expectations for people receiving Widow's Benefit with dependent children aged 5 – 14
- introduce full-time work availability expectations for people receiving Widow's Benefit or Domestic Purposes Benefit- Women Alone whose youngest dependent child is 14 years or older, or who have no children

The Act also changed the number of hours of work in relation to a particular job that someone can be required to accept to make the system more flexible. For full time work this was changed from 30 hours a week to a range of 20 – 40 hours a week and for part-time work this was changed from 15 hours a week to a range of 10-20 hours a week.

12.2 Future policy changes announced but not yet implemented

In September 2012 the Government introduced the Social Security (Benefit Categories and Work Focus) Amendment Bill. The changes in this Bill are the second part of the comprehensive package of benefit

¹¹ 'Work availability expectations' is the term that is now being used for what has previously been referred to as the work test.

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reforms that will occur in New Zealand, the first stages of which are outlined above. The changes in the Bill fall into five broad areas:

- a new system of main benefits, to embed a work-focus throughout the benefit system for those able to work
- a new approach to working with people in the benefit system who are either sick or disabled
- work-test obligations widened to include undertaking and passing drug tests for jobs or training programmes where drug testing is a prerequisite, matched with financial sanctions for non-compliance
- using the welfare system to reinforce important social norms relating to children's education and health, such as obligations on beneficiaries to:
 - have their children attending Early Childhood Education (ECE) from the age of three until they start school
 - have their children attending school, from age five or six – whenever they start school
 - have their children enrolled in primary health care
 - complete the core checks under WellChild/Tamariki Ora services
- enabling benefit payments to be stopped for beneficiaries with a warrant to arrest in criminal proceedings, which remain unresolved 28 days from issue, provided the beneficiary is given appropriate notice and an opportunity to clear the warrant. Where public safety is at risk, no notice period will apply

The relevant details of these changes will be included in the New Zealand chapter when it is updated for 1 July 2013.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD Revenue Statistics.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, inter alia, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasi-compulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.